

Payments

There are several issues and risks associated with using the Bitcoin system that prevents banks from using it for payments. Instead, they are developing their own cryptocurrency on the blockchain system.

Ripple, the San Francisco based blockchain company has proved to be the biggest driver of revolution in payment systems in the banking industry. Through its blockchain network, it provides global financial-settlement solutions for banks to transact directly and reduce settlement time and costs. Its cryptocurrency, XRP which is the world's fourth largest cryptocurrency by market capitalisation is being increasingly used by banks for cross border payments. Thailand's Siam Commercial Bank and Japan's SBI



With the distributed ledger technology, payments can be done in real time and in much secure manner

Remit use Ripple's blockchain as an instant-remittance service. Remittance service refers to payments or transfers from individuals of one country to individuals of another country. In this case an 'instant' is defined as 2 - 5 seconds- so within seconds of a remittance request being entered in the system, the receiving individual can collect the money. Compare this to the traditional system that takes around 2-3 business days to complete the transaction and you will get a sense of the benefits accorded by blockchain.